

in the future about as they had in the past. Yet the new-era theory threw out of account the past earnings of corporations except in so far as they were regarded as pointing to a *trend* for the future.

Examples Showing Emphasis on Trend of Earnings. Take three companies with the following exhibits:

Earnings per Share

Year	Company A (Electric Power & Light)	Company B (Bangor & Aroostook R. R.)	Company C (Chicago Yellow Cab)
1925	\$1.01	\$6.22	\$5.52
1926	1.45	8.69	5.60
1927	2.09	8.41	4.54
1928	2.37	6.94	4.58
1929	2.98	8.30	4.47
5-year average	\$1.98	\$7.71	\$4.94
High price, 1929	86 ⁵ / ₈	90 ³ / ₈	35

The 1929 high prices for these three companies show that the new-era attitude was enthusiastically favorable to Company A, unimpressed by Company B, and definitely hostile to Company C. The market considered Company A shares worth more than twice as much as Company C shares, although the latter earned 50% more per share than Company A in 1929 and its average earnings were 150% greater.²

Average vs. Trend of Earnings. These relationships between price and earnings in 1929 show definitely that the past exhibit was no longer a measure of normal earning power but merely a weathervane to show which way the winds of profit were blowing. That the *average earnings* had ceased to be a dependable measure of future earnings must indeed be admitted, because of the greater instability of the typical business to which we have previously alluded. But it did not follow at all that the *trend of earnings* must therefore be a more dependable guide than the *average*; and even if it were more dependable, it would not necessarily provide a safe basis, entirely by itself, for investment.

² See Appendix Note 44 for a discussion of the subsequent performance of these three companies.